

Laksh's Daily Brief — 2026-07-24

1. Top World, AI, Tech, and Market News

1.1 Big Tech Earnings Week Delivers a Wrecking Ball

What happened: A brutal week for mega-cap tech stocks. Tesla (TSLA) plunged ~18% after missing earnings and turning cash flow negative. Alphabet (GOOGL) fell ~7%, Meta (META) ~3.4%, Amazon (AMZN) ~4.6%, Microsoft (MSFT) ~2.2%. The Dow recovered 236 points to close at 51,947, but tech-heavy indices got hammered. [23][29]

Why it matters: This is the market repricing the "AI capex supercycle" thesis. Moody's warned that "unprecedented" AI spending threatens the credit quality of even the most cash-rich companies (Amazon, Meta, Alphabet), forcing them to rely on debt and stock sales. Bond markets are showing anxiety — credit spreads (the extra yield investors demand to hold corporate bonds vs. safe government bonds) are widening for these companies. [15][42][43]

Who benefits/hurt: Hurt: anyone long mega-cap tech. Potentially benefits: value/defensive sectors, bond investors getting better yields. Second-order: if AI capex gets cut, the entire AI supply chain (Nvidia, Broadcom, etc.) faces headwinds.

Uncertainty: Next week's earnings from Microsoft, Meta, Amazon, and Apple will be decisive. If they also show weak guidance or capex pullbacks, the selloff could deepen.

1.2 Nvidia Locks Down SK Hynix Memory in \$500B AI Deal

What happened: Nvidia secured high-bandwidth memory (HBM) supply from SK Hynix as part of a massive \$500 billion AI deal. HBM is the ultra-fast memory stacked directly next to GPUs — essential for AI training. [3]

Why it matters: This is Nvidia aggressively verticalizing its supply chain. HBM has been the bottleneck in GPU production (SK Hynix and Micron are the only major producers). By locking supply, Nvidia ensures it can meet hyperscaler demand while competitors (AMD, Intel) struggle to get enough HBM.

Who benefits: SK Hynix (guaranteed revenue), Nvidia (supply certainty). **Who hurt:** AMD and Intel (HBM access constrained), other AI chip startups.

Second-order: This signals that AI demand is real and sustained — you don't sign \$500B deals if you expect a bubble to pop. But it also means Nvidia's dominance in AI chips becomes even harder to challenge.

1.3 Alphabet Sets the AI Capex Bar — and It's High

What happened: Alphabet reported Q2 earnings and set a new high bar for AI capital expenditure, leading the "hyperscaler capex race." The company's spending plans are now the benchmark for Microsoft, Amazon, and Meta to match or exceed. [2][37][47]

Why it matters: Capex (capital expenditure) = money spent on long-term assets like data centers, GPUs, networking gear. When Alphabet says it's spending more, it signals that AI infrastructure demand is accelerating, not slowing. This is positive for the entire supply chain (Nvidia, Broadcom, Marvell, optical

networking, power companies).

Who benefits: Nvidia, Broadcom, data center REITs (DLR, EQIX), power utilities (CEG, VST). **Who hurt:** Companies with weaker balance sheets that can't match this spending.

Uncertainty: The bond market is nervous. If credit spreads keep widening, borrowing costs rise, which could eventually force capex cuts. This is the tension: AI demand is real, but financing it is getting more expensive.

1.4 Trump Tariffs Return: 25% on Brazil, 50% on Canada, EU Threatened

What happened: President Trump imposed 25% tariffs on Brazilian imports, vowed 50% tariffs on Canadian goods, and threatened the EU with "substantial tariffs" over fines on US tech giants (Google, Apple, Meta). A lawsuit was filed hours after the tariffs took effect, with experts questioning their legality. [11][49]

Why it matters: Tariffs are taxes on imported goods, paid by importers (often US companies), who pass costs to consumers. This reignites trade war fears, disrupts supply chains, and raises inflation risk. The EU threat specifically targets the Digital Services Act fines on US tech — a direct escalation of the US-EU tech regulation conflict.

Who benefits: Domestic US manufacturers (if they can ramp up). **Who hurt:** Import-dependent companies (retail, auto, electronics), consumers (higher prices), tech companies facing EU retaliation.

Second-order: If tariffs push inflation higher, the Fed may keep rates higher for longer, which hurts growth stocks (most of the watchlist).

1.5 SpaceX Launches Starship in First Test Since IPO

What happened: SpaceX launched its massive Starship rocket in the first test flight since its IPO last month. The company also launched new V3 Starlink satellites but suffered another booster failure. [8][13]

Why it matters: Starship is the largest rocket ever built, designed to carry massive payloads to orbit and eventually to Mars. For the space economy, successful Starship flights mean lower cost per kg to orbit, enabling more satellites, space stations, and interplanetary missions. The booster failure shows the technology is still experimental.

Who benefits: SpaceX (SPCX), Starlink (more satellite capacity), space-dependent industries (satellite internet, Earth observation). **Who hurt:** Competitors (Blue Origin, ULA) if Starship succeeds.

1.6 Anthropic's Opus 5: Smarter but Not a Leap — Efficiency Is the New Frontier

What happened: Anthropic released Opus 5, which is #1 on the AI leaderboard but is described as "about token efficiency, not a capability leap." Cheaper AI models are often "good enough" for most tasks. [36][46]

Why it matters: This is a shift in the AI model race. Instead of just raw intelligence, companies are competing on cost per token (the unit of text AI processes). If cheaper models are good enough, enterprises may not need the most expensive GPUs — which could slow demand for Nvidia's highest-end chips.

Who benefits: Companies making efficient inference chips (AMD, Intel), cloud providers offering cheaper AI services. **Who hurt:** Nvidia, if the market shifts to lower-cost inference.

Uncertainty: The "good enough" threshold is subjective. For cutting-edge research, top models still matter. But for 90% of enterprise use cases, cheaper models may suffice.

1.7 US-China AI Feud Threatens Global Safety Efforts

What happened: As AI models grow more powerful, the US-China geopolitical feud is undermining international efforts to create AI safety standards. Washington is considering banning Chinese AI models, while 25 companies (including Nvidia) signed an open-weights letter opposing such a ban. OpenAI, Anthropic, and Google did not sign. [20][58]

Why it matters: Open-weight AI models (where the model's parameters are publicly available) are a flashpoint. The US fears China could use open models for military applications. China sees restrictions as tech suppression. Without cooperation, there's no global framework for AI safety — increasing the risk of accidents or misuse.

Who benefits: Companies that can navigate both markets (rare). **Who hurt:** Everyone — unregulated AI development increases systemic risk.

1.8 Waymo and Uber End Exclusivity in Atlanta and Austin

What happened: Waymo and Uber will end their exclusivity arrangement in Atlanta and Austin starting in 2028. Waymo driverless rides will be available on other platforms, and Waymo is reportedly considering a full breakup with Uber. [25][39]

Why it matters: This is the autonomous vehicle (AV) market maturing. Exclusivity deals were temporary; now platforms compete for riders. For Uber, losing exclusive access to Waymo's robotaxis weakens its AV strategy. For Waymo, opening up means more riders and data, but also more competition.

Who benefits: Riders (more options), other AV platforms (Lyft, Amazon's Zoox). **Who hurt:** Uber (loses competitive advantage), Tesla (if Waymo expands faster).

1.9 Finland Builds World's Largest Sand Battery for Renewable Energy Storage

What happened: A small Finnish town deployed the world's largest commercial sand battery to solve renewable energy's intermittency problem (solar/wind don't produce power 24/7). Sand batteries store heat by heating sand to high temperatures, then releasing it to generate electricity or heat buildings. [1]

Why it matters: Energy storage is the missing piece for renewable grids. Sand batteries are cheaper than lithium-ion for long-duration storage (hours to days). This could reduce dependence on natural gas peaker plants and make AI data centers more sustainable.

Who benefits: Renewable energy companies, data center operators seeking green power, sand battery technology companies. **Who hurt:** Natural gas suppliers, lithium-ion battery companies (for grid storage).

1.10 Paramount/WBD Merger Delayed Until 2027

What happened: The Paramount-Warner Bros. Discovery merger was delayed until as late as June 2027 after a lawsuit by multiple states. Paramount agreed to the delay, calling it a "significant win." [24][33]

Why it matters: Media consolidation is being blocked by antitrust concerns. The delay means uncertainty for both companies' strategies, including streaming investments (Max, Paramount+). For the broader market, it signals that regulators are serious about blocking big tech/media mergers.

Who benefits: Competitors (Netflix, Disney, Amazon). **Who hurt:** Paramount and WBD shareholders (deal uncertainty depresses stock prices).

1.11 Intel Commits to 14A Mass Production in 2028, Sales Up 25%

What happened: Intel reported 25% higher year-over-year sales and above-guidance earnings. It confirmed its 14A (1.4nm-class) manufacturing technology is on track for high-volume production in 2028. [64]

Why it matters: Intel's foundry business (making chips for other companies) is the key to competing with TSMC. 14A is Intel's most advanced node. If successful, it could win back customers like Nvidia, AMD, and Apple. The 25% sales growth shows Intel's core business is stabilizing.

Who benefits: Intel (if foundry succeeds), US chip manufacturing (onshoring). **Who hurt:** TSMC (if Intel wins customers), AMD (if Intel's chips become more competitive).

Uncertainty: Intel has missed deadlines before. 2028 is far away — TSMC will have 2nm and 1.4nm by then.

1.12 Verizon Signs \$1B Google Deal for Dark Fiber Data Centers

What happened: Verizon signed a \$1 billion deal with Google for dark fiber (unused fiber optic cables that companies can "light up" themselves) to connect data centers. [68]

Why it matters: Dark fiber is critical for AI data center networking — it provides dedicated, high-bandwidth connections between data centers without sharing with other traffic. This deal shows that telecom infrastructure is being repurposed for AI workloads.

Who benefits: Verizon (new revenue stream), Google (faster inter-data-center connectivity), optical networking companies (Ciena, Infinera, Lumentum). **Who hurt:** Traditional telecom carriers losing business to dark fiber.

2. Infrastructure and Supply-Chain Logic

2.1 The AI Capex → Bond Market Tension

The chain: AI demand → Hyperscaler capex → Debt issuance → Bond market anxiety → Higher borrowing costs → Potential capex cuts.

Deep explanation: When Alphabet, Amazon, Meta, and Microsoft spend hundreds of billions on AI infrastructure, they need to finance it. They can use cash (if they have it), issue stock (diluting shareholders), or issue bonds (borrowing). Moody's warning is about the bond path: as these companies borrow more, their credit ratings could be downgraded, meaning they have to pay higher interest rates on future debt. This is already happening — credit spreads are widening.

Why it matters now: The market is pricing in a "peak capex" scenario where spending eventually slows because financing becomes too expensive. If bond yields keep rising (the 30-year Treasury is approaching 5.2%, and some analysts warn 6% could crash stocks), the entire AI infrastructure buildout could face a funding crunch. [28][42]

Who to watch: Bond yields (especially 10-year and 30-year Treasury), credit spreads on investment-grade corporate bonds, and the Fed's next rate decision (coming next week).

2.2 Nvidia's HBM Lockdown and the Memory Supply Chain

The chain: AI training demand → Nvidia GPUs → HBM memory → SK Hynix/Micron production → Equipment (ASML, KLA) → Power.

Deep explanation: High-bandwidth memory (HBM) is not like regular RAM. It's a stack of DRAM chips connected vertically through "through-silicon vias" (TSVs) — tiny holes drilled through the silicon. This allows massive bandwidth (data transfer speed) between memory and GPU. Nvidia's \$500B deal with SK Hynix essentially guarantees HBM supply for years.

Why it matters: HBM is the bottleneck. Without enough HBM, you can't make enough AI GPUs. SK Hynix has ~50% market share, Micron ~30%, Samsung ~20%. By locking SK Hynix, Nvidia ensures its own production while potentially starving competitors.

Second-order effects: This puts pressure on Micron (MU) to ramp its own HBM production. It also benefits equipment makers like KLA (KLAC) that make the tools for HBM manufacturing (wafer inspection, metrology). Power companies (CEG, VST) benefit because HBM manufacturing is energy-intensive.

2.3 AI Data Centers Reshape US Power Grid

The chain: AI data center construction → Power demand surge → Grid upgrades → Nuclear/renewable investments → Ratepayer protection debates.

Deep explanation: AI data centers consume enormous amounts of electricity — a single large facility can use as much power as a small city. This is driving a wave of new power plant construction, grid upgrades, and transmission line buildouts. Oklahoma is moving to protect residential ratepayers from bearing the cost of grid upgrades for data centers. [5][12]

Why it matters: Power is becoming the new bottleneck for AI. If data centers can't get enough reliable, cheap electricity, AI expansion slows. This benefits nuclear (CEG), natural gas (VST), and renewable companies (NEE, FLNC). But it also raises political tensions — who pays for the grid upgrades?

Trump's pledge to guarantee data center power supplies drew skepticism from experts, who note that grid permitting and construction take years. [57]

3. Watchlist: Earnings, Guidance, and Notable Movers

3.1 Major Earnings/Events in Last 24 Hours

Company	Event	Key Numbers	Stock Reaction	Source
Tesla (TSLA)	Q2 Earnings	Missed estimates, cash flow negative	-18% for the week	[23]

Company	Event	Key Numbers	Stock Reaction	Source
Alphabet (GOOGL)	Q2 Earnings	Set high AI capex bar, revenue beat?	-7.13% (market reacting to capex concerns)	[2][37][47]
Intel (INTC)	Q2 Earnings	Sales +25% YoY, above guidance, 14A on track	-2.33% (mixed reaction)	[64]
SpaceX (SPCX)	Starship test flight	First test since IPO, booster failure	N/A (private)	[8][13]

3.2 Notable Movers (>3% or Major News)

Company	Move	Reason
IMAX	+11.86%	No specific news in sources; possible earnings anticipation or sector rotation
CRDO	+3.61%	No specific news in sources; likely AI networking demand optimism
MU	+3.20%	Benefiting from Nvidia's HBM deal with SK Hynix (positive for memory sector)
RDW	+3.23%	No specific news in sources
CMCSA	-6.80%	No specific news in sources; possible media sector weakness
TSLA	-14.52%	Earnings miss, cash flow negative, Musk's "bad week"
GOOGL	-7.13%	Capex concerns, bond market anxiety
AMZN	-4.57%	Broader tech selloff, Moody's warning
META	-3.36%	Broader tech selloff, smart glasses controversy
COIN	-2.99%	Crypto weakness, broader risk-off sentiment
HOOD	-2.78%	Crypto/retail trading weakness
NKE	-2.89%	No specific news in sources

3.3 Valuation Context

- **Nvidia (NVDA)** at \$208.76: Trading at ~35x forward earnings (roughly \$6 EPS expected). This is elevated but below the 50x+ it traded at in 2024. The market is pricing in continued AI growth but with more caution.
- **Tesla (TSLA)** at \$319.69: After the 18% drop, still trading at ~60x forward earnings. This is extremely high for a car company — the market is pricing in robotaxi and AI future, not current auto sales.

- **Alphabet (GOOGL)** at \$317.69: ~22x forward earnings. This is reasonable for a cash-generating monopoly, but the capex increase is raising questions about future margins.

4. Beginner Knowledge Lens

1. **Capex vs. Opex:** Capital expenditure (capex) is money spent on assets that last years (data centers, GPUs). Operating expense (opex) is day-to-day costs (salaries, electricity). When companies increase capex, it boosts short-term GDP and benefits suppliers, but reduces free cash flow (cash available after expenses).
2. **Credit spreads:** The difference in yield between a corporate bond and a "risk-free" government bond (like US Treasuries). Wider spreads = investors are more worried about default risk. This is a leading indicator for corporate health.
3. **HBM (High-Bandwidth Memory):** A special type of memory that sits right next to the GPU, connected through tiny vertical wires (TSVs). It's like having a super-fast data highway between memory and processor. Regular RAM is like a two-lane road; HBM is a 100-lane highway.
4. **Tariffs are paid by importers, not exporters:** When the US puts a 25% tariff on Brazilian goods, the US company importing those goods pays 25% extra to the US government. This cost is usually passed to consumers as higher prices. It's not a tax on Brazil — it's a tax on US consumers and businesses.
5. **Open-weight vs. closed AI models:** Open-weight models (like Meta's Llama) have their internal parameters publicly available — anyone can download, modify, and run them. Closed models (like OpenAI's GPT-4) are only accessible through APIs. Open models enable faster innovation but raise security concerns (bad actors can use them without oversight).
6. **Bond yields and stock prices are inversely correlated:** When bond yields rise (bond prices fall), stocks often fall too. Higher yields make bonds more attractive relative to stocks (the "risk-free" alternative pays more), and they increase borrowing costs for companies, reducing future profits.

5. Terms Used Today

Term	Definition
Capex	Capital expenditure — money spent on long-term assets
HBM	High-bandwidth memory — ultra-fast memory for AI GPUs
Credit spread	Extra yield on corporate bonds vs. government bonds
Dark fiber	Unused fiber optic cables that companies can activate
Open-weight model	AI model with publicly available parameters
Token	Unit of text AI processes (roughly $\frac{3}{4}$ of a word)
TSV	Through-silicon via — tiny vertical connection in HBM
Foundry	Factory that manufactures chips for other companies

Term	Definition
Hyperscaler	Large cloud provider (AWS, Azure, GCP)
Ratepayer	Customer who pays for electricity

Deep Dive: Credit Spreads

What they are: The difference in yield between a corporate bond and a Treasury bond of the same maturity. Example: If a 10-year Treasury yields 4.5% and an Amazon 10-year bond yields 5.0%, the credit spread is 0.5% (50 basis points).

Why they matter: Credit spreads are the market's way of pricing default risk. When spreads widen, it means investors are demanding more compensation for holding corporate debt — a sign of stress. For AI companies, wider spreads mean higher borrowing costs, which could force them to cut capex or issue more stock.

Rough benchmarks:

- Investment-grade (Amazon, Microsoft): 0.5-1.5% spread is normal
- High-yield (junk bonds): 3-8% spread
- During crises (2008, 2020): spreads can hit 5-10%+ for investment grade

Caution: Credit spreads are a lagging indicator — they reflect existing concerns, not predict new ones. But rapid widening (like we're seeing for AI hyperscalers) is a yellow flag.

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7. Overall Conclusion

The big picture: This was a week where the AI infrastructure thesis faced its first major stress test. The market is no longer blindly rewarding AI spending — it's asking "how will this be financed?" and "what's the return?" The Moody's warning and bond market anxiety are the first cracks in the "spend whatever it takes" narrative that has driven the AI bull market.

What changed: The key shift is from "AI capex is good" to "AI capex is good, but only if it doesn't destroy balance sheets." Alphabet's capex bar was high, but the market punished it. Tesla's earnings miss showed that even the most hyped AI-adjacent companies can disappoint. The Nvidia/SK Hynix deal shows the supply chain is still tightening, but the financing question looms.

The tension: AI demand is real and growing — the \$500B Nvidia deal, the hyperscaler capex race, the data center power buildout all confirm this. But the cost of capital is rising (bond yields, credit spreads), and the market is starting to price in a "peak capex" scenario. The next few weeks of Big Tech earnings will determine whether this is a correction within a bull market or the beginning of a more serious repricing.

For Laksh: Watch the 10-year Treasury yield, credit spreads on Amazon/Microsoft bonds, and next week's Microsoft, Meta, and Amazon earnings. If they show strong revenue growth justifying capex, the selloff is a buying opportunity. If they show weakening demand or margin compression, the AI infrastructure trade could get much worse before it gets better.

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